

HOUSE BILL 444

By Hulsey

AN ACT to amend Tennessee Code Annotated, Title 13,
Chapter 20; Title 13, Chapter 21 and Title 29,
Chapter 17, relative to housing authorities.

WHEREAS, the General Assembly expressed the need to protect private property from eminent domain in Public Chapter 863 in 2006 with the following statement: "It is the intent of the general assembly that the power of eminent domain shall be used sparingly, and that laws permitting the use of eminent domain shall be narrowly construed so as not to enlarge by inference or inadvertently the power of eminent domain."; and

WHEREAS, under Tennessee Code Annotated, Section 13-20-201, the broad definition of "blighted areas" places non-blighted real property at risk of acquisition by eminent domain because "blighted areas" may contain individual properties that do not meet the definition of "blighted areas" under such statute; and

WHEREAS, this act deletes the "blighted areas" definition in Tennessee Code Annotated, Section 13-20-201, and replaces it with a property-by-property definition to protect well-kept, code-compliant, non-blighted real properties from being taken by the power of eminent domain while preserving the ability of housing authorities to use the power of eminent domain to acquire properties for redevelopment that are truly blighted properties; and

WHEREAS, this act improves due process for property owners by providing a reasonable amount of time for owners of blighted property to correct code violations that cause their property to be deemed as blighted before their property is subjected to acquisition by eminent domain proceedings by housing authorities; and

WHEREAS, this act replaces and narrows the definition of "blighted areas" while preserving the ability of housing authorities to acquire property by the power of eminent domain for public use; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Tennessee Property Rights Protection Act."

SECTION 2. Tennessee Code Annotated, Section 13-20-201, is amended by deleting the section and substituting:

As used in this part, "blighted property":

(1) Means an improvement to real property that was inspected by the appropriate local governmental authority and cited for one (1) or more enforceable housing, maintenance, or building code violations that:

(A) Affect the safety of the occupants or the public;

(B) Involve one (1) or more of the following:

(i) A roof or roof framing element;

(ii) Support walls, beams, and headers;

(iii) Foundation, footings, and subgrade conditions;

(iv) Light and ventilation;

(v) Fire protection, including egress;

(vi) Internal utilities, including electricity, gas, and water;

(vii) Flooring and flooring elements; or

(viii) Walls, insulation, and exterior envelope; and

(C) Have not been remedied within a reasonable time after two

(2) notices to cure the noncompliance; and

(2) Does not include land used primarily in the production of agriculture, as that term is defined in § 1-3-105.

SECTION 3. Tennessee Code Annotated, Section 13-20-202, is amended by adding the following new subsections:

(d) When a housing authority or other condemning authority approves a prospective or actual taking under this part 2, the property owner has a right to have a court of competent jurisdiction determine if the taking is to remediate blight and resell the property.

(e) This section does not preclude:

(1) A housing authority or community development agency from designating an area for the purpose of urban renewal or redevelopment, subject to approval by the governing body of the local government in which the urban renewal or redevelopment area is located;

(2) A municipality from establishing a tax increment financing zone within or without a redevelopment area or urban renewal area; or

(3) A municipality or housing authority from applying for and using grant funding to facilitate a redevelopment or urban renewal plan.

SECTION 4. Tennessee Code Annotated, Section 13-20-203, is amended by adding the following new subsections:

(c) A housing authority may acquire real property through a negotiated sale, without the use of eminent domain. A housing authority may pay more than fair market value for a property that is not a blighted property.

(d) A housing authority may contract with a third-party agent, at the housing authority's expense, for the purpose of negotiating the purchase price of real property

within an urban renewal or redevelopment area if the property is not subject to acquisition by eminent domain.

SECTION 5. Tennessee Code Annotated, Section 13-20-202(a)(1), is amended by deleting the language "blighted areas" and substituting "blighted property".

SECTION 6. Tennessee Code Annotated, Section 13-20-209, is amended by deleting the language "blighted areas" wherever it appears and substituting "blighted property".

SECTION 7. Tennessee Code Annotated, Section 13-20-216(a), is amended by deleting the language "blighted area" and substituting instead the language "blighted property".

SECTION 8. Tennessee Code Annotated, Section 29-17-102, is amended by deleting subdivision (2)(C) and substituting:

(C) The acquisition of property by a housing authority or community development agency to implement an urban renewal or redevelopment plan as authorized by title 13, chapter 20, part 2; provided, that the power of eminent domain is used only for the acquisition of:

- (i) Blighted property as defined in § 13-20-201; or
- (ii) Property that is for public use;

SECTION 9. This act takes effect upon becoming a law, the public welfare requiring it.